NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT- II)

CA(CAA)-13/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

Fortis Emergency Services Limited ... **Applicant No.1/ Transferor Company No.1**

AND

Birdie & Birdie Realtors Private Limited ... **Applicant No.2/ Transferor Company No.2**

AND

Fortis Health Management (East) Limited ... **Applicant No.3/ Transferor Company No.3**

AND

Fortis Cancer Care Limited ... **Non-Applicant/ Transferor Company No.4**

AND

Fortis Hospitals Limited ... **Applicant No.4/ Transferee Company**

AND

Their Respective Shareholders And Creditors

Order Delivered on: 22.01.2024

Under Section: 230 and 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L.N. GUPTA, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Sr. Adv. U.K. Choudhary, Adv. Sanjeev Sharma, Adv. Mansumyer Singh, Adv. Siddharth Jain, Adev. Anurav Roy

For the RD : Adv. Shankari Mishra

ORDER

PER: SHRI. A.K. BHARDWAJ, MEMBER (J)

The pleas espoused in the captioned application, filed jointly by Fortis Emergency Services Limited (Applicant Company No.1), Birdie & Birdie Realtors Private Limited (Applicant Company No.2), Fortis Health Management (East) Limited (Applicant Company No.3), Fortis Cancer Care Limited (Non-Applicant), and Fortis Hospitals Limited (Applicant Company No.4), herein jointly referred to as Applicant Companies, are for:- (i) dispensing with requirement of convening meetings of the Shareholders and Creditors qua the Applicant Companies No. 1 to 3 and also for dispensing with requirement of issuance and publication of notices in relation to the said meetings, in view of the consent affidavits given by all the respective Shareholders (comprising 100% in value and number) and majority Creditors (Unsecured, comprising more than 90% in value) for the

Scheme and towards dispensing with their meetings; (ii) dispensing with requirement for convening meeting of the Shareholders and Creditors of Applicant Company No. 4 and also for dispensing with requirement of issuing and publication of notices in relation to the said meetings, in view of the consent affidavits given by all the respective Shareholders (comprising 100% in value and number) and majority Creditors (Secured & Unsecured, comprising more than 90% in value) for the Scheme and towards dispensing with their meetings.

2. Fortis Emergency Services Limited (hereinafter referred as the **"Applicant No.1"**) having CIN U 93000DL2009PLC189866, is a public limited company, incorporated on 30.04.2009 under the Companies Act, 1956. The registered office of Applicant No.1 is situated at Escorts Heart Institute and Research Centre, Okhla Road, New Delhi- 110025. The Authorised and Paid-up Share Capital of the Company is Rs.5,00,000/-.

3. Birdie & Birdie Realtors Private Limited (hereinafter referred as the **"Applicant No.2"**) having CIN U45400DL2008PTC173959, is a private limited company, incorporated on 12.02.2008 under the Companies Act, 1956. The registered office of Applicant No.2 is situated at Escorts Heart Institute and Research Centre, Okhla Road, New Delhi- 110025. The Authorised Share Capital of the Company is 81,00,000/- and its Paid-up Share Capital is

Rs.71,00,000/-

4. Fortis Health Management (East) Limited (hereinafter referred as the **"Applicant No.3"**) having CIN U85190DL2011PLC217462 is a public limited company, incorporated on 13.04.2011 under the Companies Act, 1956. The registered office of Applicant No.3 is situated at Escorts Heart Institute and Research Centre, Okhla Road, New Delhi- 110025. The Authorised Share Capital of the Company is Rs.5,00,00,000/- and its Paid-up Share Capital is Rs. 7,00,000/-.

5. Fortis Cancer Care Limited (hereinafter referred as the **"Non-Applicant/Transferor Company No. 4"**) having CIN U85110HR2011 PLC084071, is a public limited company, incorporated on 11.04.2011 under the Companies Act, 1956. The registered office of Transferor Company No.4 is situated at Fortis Memorial Research Institute, Sector-44, Near Metro Station, Gurgaon, Haryana - 122002. The Authorised Share Capital of the Company is Rs.5,00,00,000/- and its Paid-up Share Capital is Rs. 15,00,000/-.

6. Fortis Hospitals Limited (hereinafter referred as the **"Applicant No. 4/Transferee Company"**) having CIN U93000DL2009PLC 222166, is a public limited company, incorporated on 18.06.2009 under the Companies Act, 1956. The registered office of Applicant No.4 is situated at Escorts Heart Institute and Research Centre,

Okhla Road, New Delhi- 110025. The Authorised Share Capital of the Company is Rs. 90,00,00,000 /- and its Paid-up Share Capital is Rs. 79,98,75,760/-.

7. The present Application has been preferred by the 'Transferor Companies No. 1 to 3' and 'Transferee Company', together called as **'Applicant Companies'**. The Registered offices of Transferor Companies No. 1 to 3 and Transferee Company being in Delhi, they are amenable to the territorial jurisdiction of this Bench. The territorial jurisdiction of the Registered Office of Non-Applicant/ Transferor Company No.4 lies in the state of Haryana and a separate application has been filed by it before the Chandigarh Bench of this Tribunal.

8. As far as the present application is concerned, it is seen from the record that the Board of Directors of the Transferor Companies No. 1 to 4 in their meetings each held on 30.09.2022 and Transferee Company in its meeting held on 29.09.2022, approved the proposed 'Scheme of Amalgamation' of the Transferor Companies with the Transferee Company. Copies of Resolution of the Board of Directors of Transferor Companies No. 1 to 4 and Transferee Company are found on record at Annexure A-24, A-26, A-28, A-30 and A-51. The resolution dated 30.09.2022, passed by the Board of Directors of the Transferor Companies, while approving the scheme of amalgamation, duly appreciated the effect of the scheme on Shareholders, Key

Managerial Personnel, Promoters or Non-Promoters, as per Section 232(2)(c) of the Act and also noted the fact that the transferor companies being wholly owned subsidiary of the transferee company, there would be no issue of shares by transferee company.

9. The appointed date of the Scheme is 01.04.2022 as defined in Part-I Clause 1.3 of the Scheme of Amalgamation.

10. The rationale of the proposed amalgamation Scheme, as espoused by the Applicants read thus:

i. "*To bring about operational efficiencies and reduction of administrative and managerial overheads as well as multiplicity of legal compliances;*

ii. *To achieve rationalization of costs by simplification of management structure leading to better administration and cost savings;*

iii. *The Scheme would lead to increased focus for the overall management of the Fortis group as there would be a reduction in the number of legal entities, will rationalize the group holding structure and streamline the structure of the Fortis group;*

iv. *The proposed merger will also simplify the financial reporting to all stakeholders & help evaluate financial results of FHsL more meaningfully; The proposed merger will also be a long-term solution for operational and statutory payments for the non-operational entities (i.e., Transferor Companies), including the inter-company loans received by the Transferor Companies; and*

v. *Absorption under the provisions of the Act will be beneficial, advantageous, and not prejudicial to the interests of the shareholders (which only includes the Transferee Company in relation to the Transferor*

Companies), creditors and other stakeholders of the Transferor Companies and the Transferee Company"

11. The latest Independent Auditor's Report, Audited Accounts, Balance Sheet, Statement of Profit and Loss, Statement of Changes in Equity and Statement of Cashflows for the year then ended and notes to the stand-alone Financial Statements including a summary of significant accounting policies and other explanatory information qua Transferor Companies No. 1 to 4 and Transferee Company as on 31.03.2022 are on record.

12. The Applicants have made a categorical averment in Affidavit filed by them and in Para 136 of the Application that no investigation or legal proceedings are pending against either of them, under the Companies Act, 2013 or under the Companies Act, 1956. The Para reads as:

"136. It is submitted that no investigations or proceedings, other than those disclosed in the Applicant's audited financial statements for FY 2021-22, are pending against the Applicants under the Companies Act, 2013 or under the Companies Act, 1956 or under any other law in force. It is further submitted that there are no legal proceedings pending against the Applicants or the Non-Applicant / Fourth Transferor Company, which may be detrimental or may have any adverse impact on the scheme proposed herein."

13. The Applicant Companies have annexed their respective

Certificate of Incorporation ('CoI'), Memorandum of Association ('MoAs'), and Articles of Association ('AoAs'), List of Directors and MCA Master Data.

14. The status of Equity Shareholders, Secured and Unsecured Creditors as also their Consent through Affidavits qua all the Companies as espoused in the Application filed by the Applicants can be summarised as below:

Company	No. of Shareholders	Consents Given	No. of secured Creditors	Consents Given	No. of Unsecured Creditors	Consents Given
Applicant No. 1/ First Transferor Company	1 (Annexure A - 32 at page 464)	All (Annexure A - 36 at page 468)	Nil (Annexure A - 37 at page 480)	N.A.	12 (Annexure A - 37 at page 480)	More than 90% in value (Annexure A - 41 at page 488)
Applicant No. 2/ Second Transferor Company	1 (Annexure A - 33 at page 465)	All (Annexure A - 36 at page 468)	Nil (Annexure A - 38 at page 482)	N.A.	6 (Annexure A - 38 at page 482)	More than 90% in value (Annexure A - 42 at page 492)
Applicant No. 3/ Third Transferor Company	1 (Annexure A - 34 at page 466)	All (Annexure A - 36 at page 468)	Nil (Annexure A - 39 at page 484)	N.A.	7 (Annexure A - 39 at page 484)	More than 90% in value (Annexure A - 43 at page 496)
Non-Applicant/ Fourth Transferor Company	1 (Annexure A - 35 at page 467)	All (Annexure A - 36 at page 468)	Nil (Annexure A - 40 at page 486)	N.A.	2 (Annexure A - 40 at page 486)	More than 90% in value (Annexure A - 44 at page 500)
Applicant No. 4/ Transferee Company	2 (Annexure A - 53 at page 673)	All (Annexure A – 54 at page 674)	6 (Annexure A - 55 at page 687)	All (Annexure A - 58 at page 776)	6496 (Annexure A - 55 at page 687)	More than 90% in value (Annexure A - 59 at page 778)

15. All the Equity Shareholders and Unsecured Creditors of the

Transferor Companies No. 1 to 4 and Transferee Company have accorded their consent to the Scheme by way of Affidavit. As per the stand taken in the application regarding the status of the Secured Creditors, neither of the Transferor Companies have any Secured Creditor thus, no compliance as to consent is required. However, the Transferee Company having 6 Secured Creditors as on 30.06.2022 have duly obtained the consent affidavit of creditors consisting more than 90% in value thereby giving their express consent to the proposed Scheme by way of No-Objection Certificate found at Annexure A-58.

16. In addition, it has been espoused in the application that the Transferor Companies No. 1 to 4 had certain statutory and specific liability which has been duly met and certificate from the Chartered Accountants of the Transferor Companies No. 1 to 4 confirming the status of liabilities along with proof of payment has been placed on record at Annexure A-45 of the application. Similar certificate by the Chartered Accountant certifying that Transferee Company had some statutory and liability items against its Unsecured Creditors as on 30.09.2022, which has been duly paid in full by it, is on record at Annexure A-60 of the application.

17. As can be seen from clause 8 of the Scheme, it envisages that all the Transferee Company undertakes to engage all employees of each of the Transferor Companies as on the effective date of

amalgamation would become employee of the Transferee Company on same terms and conditions without any break in service, discontinuance, or interruption.

18. Clause 11 of the Scheme categorically provides that Transferor Companies No. 1 to 4 are directly legally and beneficially owned by the Transferee Company and are wholly owned subsidiaries of it. Thereby, on Scheme coming into effect, no shares of the Transferee Company will be allotted in lieu of exchange of the holding of the Transferee Company in the Transferor Companies and issued and paid-up share capital of all the Transferor Companies will stand cancelled.

19. Para 140 of the captioned application contains the assertions that the proposed scheme of amalgamation is not a corporate debt restructuring scheme and thus creditor's responsibility statement and other requirements of Section 230(2)(c) of the Companies Act, 2013 are not attracted qua this application.

> 140. The Parties further submit that the proposed Scheme, annexed herewith, is not a corporate debt restructuring scheme and hence a creditor's responsibility statement and other requirements of Section 230(2)(c) of the Companies Act, 2013, are not applicable to the present case.

The same has been asserted in Affidavits filed by the Transferor Companies No. 1 to 3 and Transferee Company that the Scheme

does not involve any reduction of capital or corporate debt restructuring. A certificate from the Statutory Auditors.

20. As has been espoused in Para 142 of the Application and deposed by way of an Affidavit through the authorised representative of the Applicant Companies, no other sectoral regulators/statutory authorities except the Statutory Authorities i.e., (i) the Central Government through Regional Director (Northern Region); (ii) the Registrar of Companies; (iii) the Income Tax Authority Department through Nodal Officer; and (iv) the Official Liquidator, Delhi are concerned with the Amalgamation of Applicant Nos. 1-3 and Non-Applicant with the Applicant No.4. It is further espoused in the Affidavit that the Applicant Companies are not required to serve notice upon the Competition Commission of India and that there is no requirement of obtaining approval of Foreign Investment Promotion Board (FIPB) and/or Reserve Bank of India. The aforementioned affidavit with respect to the sectoral regulator is attached as Annexure P- 64 with the application. Para 142 of the application reads thus: -

> *"142. The Applicants are not governed by any of the sectoral regulators including Competition Commission of India ('**CCI**'), Securities Exchange Board of India ('SEBI'), Reserve Bank of India ('RBI') or other authorities. Therefore, no notice is required to be issued to any sectoral regulator.*

143. Further, there is no requirement for the Applicants to apply to the Competition Commission of India (CCI) for approval as it the Scheme is an intra-group combination where the wholly owned subsidiaries are proposed to be merged with their parent entity.

Affidavit by the Applicant No. 1 / First Transferor Company, Applicant No. 2 I Second Transferor Company, Applicant No. 3 / Third Transferor Company, and Applicant No. 4 / Transferee Company to the effect that they are not governed by any of the Sectoral Regulators/ Authorities and do not need to apply to the CCI, and hence no notice to sectoral regulators is required are annexed herewith as ***Annexure A-67****."*

21. A Certificate from the Statutory Auditors dated 18.10.2022 for Transferor Company No.1, Certificate dated 19.10.2022 for Transferor Company No.2, Certificate dated 27.10.2022 for Transferor Companies No. 3 to 4, and Certificated dated 27.10.2022 for Transferee Company certifying that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act, 2013, read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 has been placed on record at Annexure A-61-65, Vol. VI of the application.

22. It is observed that this Tribunal vide order dated 09.05.2023 directed that Applicant Companies to file a categorical affidavit in compliance with Sec. 230(2) of the Companies Act, 2013. The

Applicant Companies accordingly filed separate affidavits dated 24.05.2023 wherein Applicant Company No. 1, 2 and 4 attached Annexure to affidavit stating the proceedings and/or litigations pending qua them and Applicant Company No. 3 stated that no proceedings and/or investigation of any nature whatsoever is pending against it.

23. On perusal of the affidavits filed by the Applicant Companies it could be coined that there were certain pending litigations/ proceedings qua Applicant Company Nos. 1, 2 and 4. This Tribunal vide order dated 02.06.2023 issued notice to RD and directed to file its reply. The reply of RD is on record which reads thus:

> *"...The FIR (**Annexure – A**) was filed by M/s Fortis Healthcare Limited the holding company of Transferee Company (M/s Fortis Hospitals Limited) against Transferor Company No.2 Birdie and Birdie Realtors Private Limited and Mr. Malvinder Mohan Singh, and Mr. Shivinder Mohan Singh who were directors of Transferee company during 2009 to 2012, The FIR inter-alia at para iv of the complaint states regarding acquisition of M/s Birdie and Birdie Realtors Private Limited and M/s Fortis Hospital has given Rs 122.5 crore during 2013-14 and concluded that Singh brothers caused wrongful gain to themselves, persons related to them and entities owned controlled by them to the tune of Rs. 42.20 crore and huge wrongful loss to the complainant company and they have been certain queries raised on the said transaction by Serious Fraud Investigation Office also. Further it is*

mentioned in the complaint that SEBI has passed interim order dated 17.10.2018 on ICDs.

8. *In the notice to Extra-ordinary General Meeting dated 08.05.2018 of Fortis Healthcare Ltd (holding company of Transferee company) it was reported that Five resignations from the board. Both the Promoters Directors Mr. Malvinder Mohan Singh and Dr. Shivinder Mohan Singh resigned from the board to absolve the Company from any linkages to their litigation with Daiichi Sankyo. Following that were the resignations of Ms. Joji S. Gill, Dr. P S Joshi and Mr. Pradeep R. Raniga. While Dr Joshi had resigned due to ill health, Ms. Joji resigned as here workplace relocated out of India and she couldn't find enough time for her role as Director. Mr. Raniga also resigned due to his enhanced audit work in Australia. Copy of the Notice dated 27.08.2018 is enclosed and marked as* ***Annexure-B****.*

9. *The common director in the transferee company and its holding company is Mr. Ravi Rajagopal (DIN 00067073).*

10. *That the Company Fortis Healthcare Limited being holding of the Transferee Company (Fortis Hospitals Ltd) in the present Scheme of merger /amalgamation of the Transferor Companies i.e., Fortis Emergency Services Limited, Birdie & Birdie Realtors Pvt Ltd, Fortis Health Management (East) Ltd, Fortis Cancer Care Limited are subsidiary of Fortis Hospitals Limited as mentioned at para 27 of the Scheme of Merger/Amalgamation. As seen from the Balance Sheet of the Transferee Company apparent violation of section 186(1) of the Companies Act,*

2013 regarding number of layers(more than 2 layers) i.e.,

(i) IHH Healthcare Berhad (Ultimate Holding)
⇩ Layer(1)
(ii) Integrated Healthcare Holding Ltd
⇩ Layer(2)
(iii) Park Pantai Limited
⇩ Layer (3)
(iv) Fortis Healthcare Limited (More than 2 Layers)
⇩ Layer (4)
(v) Fortis Hospitals Limited

Apart from above Fortis Healthcare Limited is ordered for investigation vide letter No. 03/107/2018/CL-II(NR) dated 17.02.2018 to be conducted by SFIO. Copy of the letter dated 17.02.2018 is enclosed and marked as ***Annexure-C****. The investigation is in progress. It is seen from the related party transition of Fortis Healthcare Ltd the Account of Fortis Hospitals is getting consolidated. The related party transactions of the Group Companies refer connected and have impact on the Account of the Holding company Fortis Healthcare Limited which is under investigation i.e., conversion of loan into 0.01% optionally convertible redeemable preference shares during 2021 to 2022 or into share capital during 2020 to 2021, corporate guarantee to the extent of Rs. 33.330 Lakh as at 31.03.2021 and Rs. 6500 Lakh as at 31.03.2022 and Corporate Guarantee withdrawn as at 31.03.2021 & 31.03.2022 were 27590 Laksh and Rs. 28,878 Laksh Corporate Guarantee Withdrawn were Rs. 2510 Lakh on 31.03.2021 and Rs. 42176 Lakh on 31.03.2022. Regarding subsidiaries of Transferer Companies the following transactions are shown as at*

31.03.2021 and 31.03.2022: -

(Rs. in lacs)

Loan recoverable (Gross Provisions)	31.03.2021	31.03.2022
Bridie & Bridie Realtors Pvt Ltd	1,697.00	12,500.00
Fortis Health Management (East) Ltd	721.45	721.45
Fortis Cancer Care Limited	1,951.00	1951.00
Fortis Emergency Services Limited	3,663.26	3,663.26
Provisions against Loan recoverable		
Bridie & Bridie Realtors Pvt Ltd	1,697.00	12,500.00
Fortis Health Management (East) Ltd	721.45	721.45
Fortis Cancer Care Limited	1,951.00	1951.00
Fortis Emergency Services Limited	3,663.26	3,663.26
Outstanding Corporate Guarantee given to banks for loan availed by company Fortis Healthcare Ltd	50,847.00	72,880.00
Outstanding Corporate Guarantee given to body corporate for loans availed by Fortis Healthcare Ltd	--	345.00
Outstanding Corporate Guarantee given by company to banks for loans available by Fortis Healthcare Ltd	48,679.82	88,455.82

In view of the ongoing investigation against the Holding Company of Transferee Company and considering facts above & impact of financials of Transferee Company to the present petition it is proposed that formal notice to SFIO may be issued to ascertain whether transactions of Transferor/Transferee Companies too are investigated and in case Transferor Companies are prima-facie liable then litmus test to

ascertain scheme being prejudice to public interest need to be tested of the facts and input of the SFIO as same would determine the criminal involvement & financial liability."

24. As could be seen from record Applicant Companies No. 1 to 4 filed their affidavits in reply to the representation/affidavit of the RD and have submitted the following:

I. The FIR in question was against erstwhile promoters who have no connection or relationship with the entities involved in this application. Further, Applicant Company No. 2 will not be adversely affected due to mere fact that the shareholding was historically held by the promoters. It further espoused that the FIR was filed by the parent company of the Applicant Companies against the erstwhile promoters in respect of certain transactions that caused wrongful loss to the parent company. In furtherance, it is a settled law that pending criminal proceedings cannot be constituted as a hinderance to a scheme of arrangement. As regards the interim order dated 17.10.2018 passed by SFIO, the order directed erstwhile promoters of the Fortis group to repay the funds siphoned away from the Fortis group and it attained finality vide SEBI's final order dated 19.04.2022.

II. As regards the violation of Sec. 186(1) of the Companies Act, 2013, the Applicant Companies submitted that the IHH

Healthcare Berhad is the ultimate holding company and that Integrated Healthcare Holdings Limited & Parkway Pantai Limited (incorrectly recorded as Park Pantai Limited by RD) are intermediate holding companies of Fortis Healthcare Limited and the immediate holding company of Fortis Healthcare Limited is Northern TK Venture Limited. In view of the provided backdrop, there is no violation of Section 186(1) of the Act for reason that the restriction on an entity not making investment through more than two 'layers' are applicable only to 'companies' which are Indian companies as defined under the Act. It further espoused that the restriction is not applicable when such Indian company has investment subsidiaries outside India in a jurisdiction wherein more than two 'layers' of investment are permitted and accordingly this restriction would not apply at level of any overseas entities that are holding investments in an Indian company. It also relied upon Rule 2 of the Companies (Restriction on Number of Layers) Rules, 2017.

III. As regards the SFIO investigation, the Applicant Companies submitted that the investigation by SFIO was into affairs of the ultimate holding company of the Applicant Companies i.e., FHL and not specifically against the Applicant Companies. The SFIO investigation sought to enquire into the fraudulent

actions undertaken by the erstwhile promoters of the Fortis group who currently have no connection or relation whatsoever with the Fortis group or the Applicant Companies. The Applicant Companies further relied upon Clause 9 of the Scheme which envisages provisions for liabilities which may arise in future and comply with any findings and/or liability imposed. The Applicant Companies reiterated that the pending criminal proceedings will not constitute any hinderance to scheme of arrangement.

IV. As regards the consolidation of accounts, the Applicant Companies have refuted the submissions of RD and espoused it to be mere speculation. They further espoused that related party transactions occur frequently between group companies and mere existence of such transactions does not itself constitute any suspicious event so as to effect the Scheme of arrangement in any manner whatsoever. They have also submitted that no illegality has been alleged by the RD pertaining to these transactions and that the intra-group merger does not have adverse implications since consolidated assets and liabilities remain unchanged on account of the Scheme.

25. The Applicant Companies have further relied upon judgment of Hon'ble Supreme Court in the matter of **Sesa Industries Limited vs.**

Krishna H. Bajaj & Ors. (Civil Appeal Nos. 1430-31 of 2011) decided on 07.02.2011 which reads thus:

> *"**44.** ...However, it is made clear that the scheme of amalgamation will not come in the way of any civil or criminal proceedings which may arise pursuant to the action initiated under Sections 209-A or 235 of the Act, or any criminal proceedings filed by Respondent 1."*

Reliance was also placed on judgment by Hon'ble High Court of Gujarat IN **C.M. Smith and Sons Ltd., In re** (2008 SCC OnLine Guj 249), wherein Hon'ble High Court held that any criminal prosecution/legal proceedings initiated against any of the transferee companies or the directors of any of the transferor companies, the order of sanctioning of scheme of amalgamation of these companies would not come in way of such proceedings. Similar view could be reiterated in the judgment by the Hon'ble High Court of Bombay in **Sesa Goa Limited vs. Shailesh Bajaj** (2013 SCC OnLine Bom 538), wherein Hon'ble Court held that it is well settled position in law that any pending investigation or proceedings cannot come in the way of the Court considering the grant of sanction of Scheme. The relevant paras of the judgment reads thus:

> *"**16.** So far as Company Application No. 3/2013 is concerned, in the said application it is claimed that directions be given to the Central Government to produce the papers and other documents in respect of the actions taken or contemplated to be taken by the Ministry of Corporate Affairs in terms of reimbursement of the amount*

of Rs. 1,000 crores that has been siphoned away from the Petitioner Company as per the findings arrived at by the SFIO in its Report dated 29th April, 2011 and seeking further direction to produce the necessary files, etc., in respect of the action taken by the Ministry of Corporate Affairs in terms of the supersession of the Board of Directors in view of the report. In my view, so far as these prayers are concerned, they have nothing to do with the grant of sanction of the scheme which is filed for amalgamation. It is well settled position in law that any pending investigation or proceedings cannot come in the way of the Court considering the grant of sanction under Section 391 of the Act.

XXX

32. *In my view, submissions made by the Objector cannot be accepted. It is a well settled position in law that pending investigation or pending cases cannot come in the way of the Court granting sanction to the Scheme of amalgamation filed by the Company under section 391. It is further held that even after the Scheme is sanctioned, prosecution, if any, initiated by the Central Government or any other Agency would continue against those Directors or persons responsible for committing the said illegalities and, as such, therefore, merely because Report has been tendered making allegations against the Company would not deter the Court from granting sanction on that ground alone, if it is satisfied that the provisions of section 391 have been complied with by the Company."*

26. The RD has further filed its additional affidavit dated 08.11.2023 stating that the affidavit dated 21.08.2023 was filed

without report of Registrar of Companies and submitted that it will file its detailed affidavit in 2nd motion petition based on inputs of the RoC.

27. In the wake of the pleadings and documents put forth by the Applicants and the legal preposition espoused, it is ordered thus:

I. The requirement for convening separate meetings of Equity Shareholders of each of the Applicant Companies No.1 to 3 and requirement of issuance and publication of notices in relation to the said meetings is dispensed with, in view of the consent affidavits given by all the respective Shareholders (comprising 100% in value and number).

II. The requirement for convening separate meetings of Secured Creditors of each of the Applicant Companies No.1 to 3 is dispensed with in view of the fact that there is NIL Secured Creditors in any of the Applicant Companies No.1 to 3.

III. The requirement for convening separate meetings of Unsecured Creditors of each of the Applicant Companies No.1 to 3 and requirement of issuance and publication of notices in relation to the said meetings is dispensed with, in view of the consent affidavits given by the Unsecured Creditors (comprising more than 90% in value).

IV. The requirement for convening separate meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.4 and also for dispensing with requirement of issuing and publication of notices in relation to the said meetings is dispensed with, in view of the consent affidavits given by all the respective Shareholders (comprising

100% in value and number) and majority Creditors (Secured & Unsecured) (comprising more than 90% in value) for the Scheme and also the fact that all of the Applicant Companies No. 1 to 3 are directly wholly owned subsidiaries of the Applicant Company No. 4 and that in terms of the said Scheme there is no impact on the shareholders or creditors of the Applicant Company No. 4 particularly since the amalgamation involves cancellation of shares held by Applicant Company No. 4 in its wholly owned subsidiaries and does not involve any issuance of shares by the parent company and also that no arrangement or compromise is proposed with the creditors of the Applicant Company No.4.

V. The plea raised by the RD regarding pendency of investigation, referred to in Para 23 above would be considered and taken into account at the time of consideration of 2nd Motion Petition, as the RD get a statutory right to put forth its stand in terms of the provision of Sec. 230(5) of the Companies Act, before the scheme is approved and not at the stage when the meeting of shareholders/ creditors (Unsecured & Secured) is ordered to be convened or dispensed with. All other issues including those referred to in Sec. 230(7) would also be examined before passing the final order.

VI. The issuance of notice in terms of the provisions of Sec. 230(5) would be considered on filling of the 2nd Motion Petition by the Applicants.

28. **The Application is disposed of in the aforesaid terms.**

Sd/-	**Sd/-**
(L.N. GUPTA)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**